

COMMITTEE ON NATURAL RESOURCES, ENERGY & WATER
HOUSE OF REPRESENTATIVES AMENDMENTS TO H.B. 2912
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[~~GREEN STRIKEOUT IN BRACKETS~~] indicates new text removed from statute or previously enacted session law.

[~~Green strikeout in brackets~~] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<~~Green strikeout in carets~~>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Title 40, chapter 1, article 1, Arizona Revised
3 Statutes, is amended by adding sections 40-113 and 40-114, to read:

4 40-113. Integrated resource plan: third-party evaluation:
5 definitions

6 A. THE COMMISSION SHALL REQUIRE AN ELECTRIC PUBLIC SERVICE
7 CORPORATION IN THIS STATE TO PREPARE AND SUBMIT AN INTEGRATED RESOURCE
8 PLAN TO THE COMMISSION FOR REVIEW AND APPROVAL AT LEAST ONCE EVERY THREE
9 YEARS. THE PLAN SHALL:

10 1. PROJECT ENERGY DEMAND FOR THE NEXT FIFTEEN YEARS, INCLUDING AT
11 LEAST THREE SCENARIOS THAT PROJECT LOW, MEDIUM AND HIGH LOAD GROWTH
12 SCENARIOS.

13 2. SUMMARIZE AND QUANTIFY ALL EXISTING ELECTRIC GENERATION PLANTS
14 THE PUBLIC SERVICE CORPORATION USES TO MEET EXISTING AND FUTURE DEMANDS,
15 LESS ANY PLANNED RETIREMENTS, AND IDENTIFY EACH ELECTRIC GENERATION PLANT
16 THAT IS SCHEDULED TO RETIRE OR THAT THE COMMISSION HAS APPROVED TO RETIRE
17 WITHIN THE NEXT FIFTEEN YEARS.

18 3. IDENTIFY ALL ELECTRIC GENERATION PLANTS THAT ARE NOT YET
19 CONSTRUCTED OR THAT ARE NOT CURRENTLY OWNED, OPERATED OR USED BY THE
20 PUBLIC SERVICE CORPORATION AND THAT COULD BE CONSTRUCTED OR COULD BE
21 PURCHASED, OPERATED OR OTHERWISE USED OR RELIED ON TO MEET THE DIFFERENCE
22 BETWEEN EXISTING GENERATING CAPACITY AND FUTURE ENERGY DEMAND IN THE NEXT
23 FIFTEEN YEARS.

24 4. ANALYZE THE TOTAL ESTIMATED CAPITAL AND OPERATING EXPENDITURES
25 FOR EACH ELECTRIC GENERATION PLANT, COMBINATION OF PLANTS AND COMBINATION
26 OF OWNERSHIP STRUCTURES THAT ARE IDENTIFIED PURSUANT TO PARAGRAPH 3 OF
27 THIS SUBSECTION OVER THE USEFUL LIFE OF EACH PLANT OR COMBINATION OF
28 PLANTS.

1 5. ANALYZE THE TOTAL RELIABILITY VALUE, INCLUDING EFFECTIVE LOAD
2 CARRYING CAPABILITY, FOR EACH ELECTRIC GENERATION PLANT AND COMBINATION OF
3 PLANTS THAT ARE IDENTIFIED PURSUANT TO PARAGRAPH 3 OF THIS SUBSECTION TO
4 ENSURE RELIABLE ELECTRIC SERVICE IS AVAILABLE TO RETAIL ELECTRIC CUSTOMERS
5 IN EACH YEAR FOR THE NEXT FIFTEEN YEARS.

6 6. USING THE RATEPAYER IMPACT MEASURE TEST, DETERMINE THE
7 COMBINATION OF ELECTRIC GENERATION PLANTS AND OWNERSHIP STRUCTURES OF THE
8 PLANTS THAT ARE IDENTIFIED IN PARAGRAPH 3 OF THIS SUBSECTION AND THAT
9 RESULT IN ALL OF THE FOLLOWING:

10 (a) THE LOWEST OVERALL LIFETIME REVENUE REQUIREMENT FOR THE
11 ELECTRIC PUBLIC SERVICE CORPORATION OVER THE USEFUL LIFE OF THE RELEVANT
12 PLANTS.

13 (b) THE SAFEST AND MOST RELIABLE ELECTRIC SERVICE FOR RETAIL
14 ELECTRIC CUSTOMERS IN EACH OF THE NEXT FIFTEEN YEARS.

15 (c) THE INTENT OR DESIGN NOT BEING MEANT TO SATISFY ANY CARBON OR
16 EMISSIONS REDUCTION GOAL.

17 7. WHEN EVALUATING TOTAL ESTIMATED CAPITAL AND OPERATING
18 EXPENDITURES PURSUANT TO PARAGRAPH 4 OF THIS SUBSECTION, PROVIDE A COST
19 ANALYSIS THAT ASSUMES ANY SUBSIDIES, GRANTS OR CREDITS THAT ARE CURRENTLY
20 AVAILABLE TO THE PUBLIC SERVICE CORPORATION WILL CONTINUE TO BE AVAILABLE
21 TO THE PUBLIC SERVICE CORPORATION OVER ALL OR PART OF THE NEXT FIFTEEN
22 YEARS. THE COST ANALYSIS SHALL TAKE INTO CONSIDERATION THE STATUTORY
23 DEADLINES AND A COST ANALYSIS THAT ASSUMES SUBSIDIES, GRANTS OR CREDITS
24 WILL NOT BE AVAILABLE TO THE PUBLIC SERVICE CORPORATION OVER THE NEXT
25 FIFTEEN YEARS.

26 8. AS A SEPARATE ANALYSIS AND IF FEASIBLE, PROVIDE THE TOTAL
27 ESTIMATED UPSTREAM AND DOWNSTREAM CARBON DIOXIDE EMISSIONS AND GREENHOUSE
28 GAS EQUIVALENTS OF EACH ELECTRIC GENERATION PLANT AND COMBINATION OF
29 PLANTS THAT ARE IDENTIFIED PURSUANT TO PARAGRAPH 3 OF THIS SUBSECTION OVER
30 THE USEFUL LIFE OF EACH PLANT AND INCLUDES ALL OF THE FOLLOWING:

31 (a) SCOPE 1 EMISSIONS, SCOPE 2 EMISSIONS AND SCOPE 3 EMISSIONS FOR
32 EACH PLANT.

33 (b) THE PARTS, MINERALS, METALS, MATERIALS AND COMPONENTS OF EACH
34 PLANT.

35 (c) THE MANUFACTURE, PRODUCTION, TRANSPORTATION, DECOMMISSIONING
36 AND RECYCLING OF EACH PLANT AND EACH PLANT'S RESPECTIVE PARTS, MINERALS,
37 METALS, MATERIALS AND COMPONENTS.

38 9. INCLUDE A DESCRIPTION OF ALL MODELING ASSUMPTIONS THAT ARE USED
39 IN EACH PORTFOLIO.

40 B. BEFORE THE COMMISSION APPROVES OR DENIES A PUBLIC SERVICE
41 CORPORATION'S INTEGRATED RESOURCE PLAN, THE COMMISSION SHALL OBTAIN AND
42 REVIEW AN EVALUATION THAT IS CONDUCTED BY AN INDEPENDENT THIRD PARTY AND
43 THAT DOES ALL OF THE FOLLOWING:

44 1. VERIFIES THE PUBLIC SERVICE CORPORATION'S INFORMATION PROVIDED
45 PURSUANT TO SUBSECTION A OF THIS SECTION.

46 2. PRESENTS ALTERNATIVE INFORMATION, ESTIMATES, ANALYSES,
47 EVALUATIONS OR ASSUMPTIONS RELATED TO:

1 (a) THE PUBLIC SERVICE CORPORATION'S LOW, MEDIUM OR HIGH LOAD
2 GROWTH SCENARIOS.

3 (b) THE PUBLIC SERVICE CORPORATION'S ESTIMATE OF TOTAL CAPITAL AND
4 OPERATING EXPENDITURES FOR EACH PLANT OR A COMBINATION OF PLANTS OR
5 OWNERSHIP STRUCTURES FOR THOSE PLANTS OVER THE USEFUL LIFE OF EACH PLANT.

6 (c) THE PUBLIC SERVICE CORPORATION'S MEASURE OF RELIABILITY, SUCH
7 AS EFFECTIVE LOAD CARRYING CAPACITY FOR A PLANT OR COMBINATION OF PLANTS.

8 (d) WHETHER THE PUBLIC SERVICE CORPORATION COULD SAFELY AND
9 RELIABLY MEET PROJECTED DEMAND AT A LOWER COST WITH LESS CAPACITY IF MORE
10 RELIABLE AND DISPATCHABLE SOURCES OF POWER WERE INCLUDED.

11 3. USING THE RATEPAYER IMPACT MEASURE TEST, MAKES A RECOMMENDATION
12 REGARDING THE COMBINATION OF PLANTS AND OWNERSHIP STRUCTURES FOR THOSE
13 PLANTS THAT RESULT IN THE LOWEST OVERALL LIFETIME REVENUE REQUIREMENT AND
14 RELIABILITY REQUIREMENTS AS PRESCRIBED IN SUBSECTION A, PARAGRAPH 6 OF
15 THIS SECTION.

16 C. IF THE COMMISSION APPROVES A PUBLIC SERVICE CORPORATION'S
17 INTEGRATED RESOURCE PLAN, THE COMMISSION'S DECISION IS NOT BINDING ON
18 FUTURE RATE CASES.

19 D. AN INTEGRATED RESOURCE PLAN THAT COMPLIES WITH THIS SECTION AND
20 THAT HAS BEEN APPROVED BY THE COMMISSION SHALL SERVE AS EVIDENCE OF ALL
21 RELEVANT CONDITIONS KNOWN, OR THAT IN THE EXERCISE OF REASONABLE JUDGMENT
22 COULD HAVE BEEN KNOWN, BY AN ELECTRIC PUBLIC SERVICE CORPORATION DURING
23 THE THREE YEAR PERIOD BETWEEN INTEGRATED RESOURCE PLANS, UNLESS THE PUBLIC
24 SERVICE CORPORATION PROVIDES SUBSTANTIAL EVIDENCE OF NEW OR ALTERNATIVE
25 CONDITIONS THAT THE PUBLIC SERVICE CORPORATION BECAME AWARE OF AFTER THE
26 COMMISSION APPROVED THE INTEGRATED RESOURCE PLAN.

27 ~~[E. TO ENSURE THE CONVENIENCE, COMFORT AND SAFETY OF AND TO~~
28 ~~PRESERVE THE HEALTH OF THE PUBLIC SERVICE CORPORATION'S CUSTOMERS, A~~
29 ~~PUBLIC SERVICE CORPORATION OR A PARENT COMPANY, HOLDING COMPANY OR~~
30 ~~AFFILIATE OF THE PUBLIC SERVICE CORPORATION MAY NOT ADOPT, IMPLEMENT~~
31 ~~ADMINISTER OR ENFORCE ANY POLICY, PROGRAM OR SYSTEM OF EMPLOYEE OR~~
32 ~~INDEPENDENT CONTRACTOR COMPENSATION THAT MEASURES AN EMPLOYEE'S OR~~
33 ~~INDEPENDENT CONTRACTOR'S PERFORMANCE OR AMOUNT OF COMPENSATION IN WHOLE OR~~
34 ~~IN PART BASED ON ACHIEVING A GOAL, OBJECTIVE, UNIT OF MEASURE OR METRIC~~
35 ~~THAT CONFLICTS WITH THE PUBLIC SERVICE CORPORATION'S OBLIGATION OR ABILITY~~
36 ~~TO SERVE THE PUBLIC, INCLUDING THE ABILITY TO PROVIDE SAFE AND RELIABLE~~
37 ~~SERVICE AT AN AFFORDABLE RATE.]~~

38 ~~[E. THE COMMISSION MAY INCLUDE REQUIREMENTS IN ADDITION TO THOSE~~
39 ~~REQUIRED BY THIS SECTION.]~~

40 F. FOR THE PURPOSES OF THIS SECTION:

41 1. THE FOLLOWING TERMS HAVE THE SAME MEANINGS PRESCRIBED IN SECTION
42 40-201.

43 (a) "COMMISSION".

44 (b) "ELECTRIC GENERATION PLANT".

45 (c) "ELECTRIC SERVICE".

46 (d) "RETAIL ELECTRIC CUSTOMER".

1 2. "RATEPAYER IMPACT MEASURE TEST" MEANS A TEST THAT MEASURES THE
2 CHANGE IN CUSTOMER BILLS OR RATES DUE TO CHANGES IN THE UTILITY'S CAPITAL
3 AND OPERATING EXPENSES CAUSED BY THE UTILITY'S INVESTMENT OR PROCUREMENT
4 DECISIONS IN A PARTICULAR ELECTRIC GENERATION PLANT, COMBINATION OF PLANTS
5 OR COMBINATION OF OWNERSHIP STRUCTURES ASSOCIATED WITH THE PLANTS.

6 40-114. Request for proposals; requirements

7 [A. IN ADDITION TO ANY OTHER REQUIREMENTS IMPOSED BY THE COMMISSION
8 BY RULE, BEFORE ISSUING A REQUEST FOR PROPOSALS FOR THE GENERATION OF
9 ELECTRICITY, AN ELECTRIC PUBLIC SERVICE CORPORATION SHALL PROVIDE THE
10 REQUEST FOR PROPOSALS TO THE COMMISSION FOR APPROVAL.

11 B. A REQUEST FOR PROPOSALS SHALL BE COMPETITIVE, TECHNOLOGY
12 AGNOSTIC AND OPEN TO ALL TYPES OF GENERATION AND MAY NOT INCLUDE ANY
13 CRITERIA THAT WOULD DISCRIMINATE AGAINST A RESOURCE ON THE BASIS OF CARBON
14 EMISSIONS.

15 C. TO THE MAXIMUM DEGREE PRACTICABLE, A REQUEST FOR PROPOSALS SHALL
16 PRIORITIZE RELIABILITY AND AFFORDABILITY AND BE DESIGNED TO RESULT IN
17 CONTRACTS FOR RESOURCES THAT PROVIDE RELIABLE ELECTRICITY AT THE LOWEST
18 COST.

19 D. THE COMMISSION SHALL APPOINT AN INDEPENDENT MONITOR TO OVERSEE
20 EACH REQUEST FOR PROPOSAL TO ENSURE COMPLIANCE WITH THE REQUIREMENTS OF
21 THIS SECTION AND ANY OTHER REQUIREMENTS IMPOSED BY THE COMMISSION BY RULE.

22 E. AN ELECTRIC PUBLIC SERVICE CORPORATION SHALL REPORT TO THE
23 COMMISSION THE RESULT OF A REQUEST FOR PROPOSALS INCLUDING THE RESOURCES
24 THE ELECTRIC SERVICE CORPORATION CONTRACTED AND EVIDENCE SUPPORTING THAT
25 RESOURCE OR THE RESOURCES BEING SELECTED INSTEAD OF OTHER PROPOSED
26 RESOURCES.]

27 Enroll and engross to conform
28 Amend title to conform
And, as so amended, it do pass

GAIL GRIFFIN
CHAIRMAN

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